India & Djibouti: Strengthening Partnership, Shaping Shared Growth

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Foreword

Djibouti occupies a distinctive position within Africa's economic landscape. Situated at the southern entrance to the Red Sea beside the Bab-el-Mandeb strait, home to roughly 1.1 million people, a highly urbanised population and one of the continent's most important port and free-zone platforms, the country holds long-term promise across logistics, transhipment, food distribution, renewable energy, digital connectivity, pharmaceuticals and services. At the same time, its very small domestic market, dependence on transit trade, limited natural resources, high operating costs, elevated public debt and exposure to regional security conditions temper the pace at which this potential translates into realised opportunity, shaping a market where strategic location and port infrastructure coexist with the constraints of scale.

India and Djibouti have maintained friendly and steadily expanding bilateral relations, supported by political dialogue, maritime cooperation, development partnership and growing commercial engagement. Trade between the two countries has been led by Indian exports, including foodstuffs, pharmaceuticals, vehicles, machinery, chemicals, textiles and construction inputs, a significant share of which serves Ethiopia and neighbouring markets through Djibouti's ports, while Djibouti and the wider corridor offer opportunities in logistics services, minerals, commodities, livestock and fisheries.

Looking ahead, this paper outlines a practical set of initiatives through which CCI India can support Indian businesses in engaging with Djibouti in a manner appropriate to current conditions, whether through sector-specific market intelligence, structured business matchmaking, identification of credible local partners, or institutional dialogue with Djibouti's relevant ministries, the Djibouti Ports and Free Zones Authority, investment-promotion institutions and the national chamber of commerce, that can be scaled as specific opportunities mature. This Knowledge Paper examines, in a structured and evidence-based manner, the current state of Djibouti's economy, its priority sectors, and the opportunities and constraints shaping India–Djibouti economic engagement, serving as a reference for CCI India's engagement with the Embassy of India in Djibouti, Djiboutian stakeholders, and Indian companies assessing the market.

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Table of Contents

Table of Contents 3
1. Djibouti: Economic Profile and Business Environment 9
1.1 Country overview 9
1.2 Structure of the economy 9
1.3 Institutions and governance 9
1.4 Trade orientation 10
1.5 Trade basket 10
1.6 Key indicators at a glance 10
2. Strategic Context of India–Djibouti Relations 11
2.1 Shared values and diplomatic ties 11
2.2 The Red Sea and Gulf of Aden dimension 11
2.3 The regional dimension 11
2.4 Technology and development cooperation 12
2.5 Multilateral convergence 12
2.6 Dimensions of the relationship 12
2.7 Strengths, constraints, opportunities and risks 12
3. India: Capabilities Relevant to Djibouti 13
3.1 Food and agricultural commodities 13
3.2 Pharmaceuticals and healthcare 13
3.3 Vehicles, machinery and industrial goods 13
3.4 Infrastructure, engineering and project capability 14
3.5 Information technology and digital public infrastructure 14
3.6 Renewable energy and green hydrogen 14
3.7 Shipping, maritime and logistics services 14
3.8 Priority sector matrix 14
4. Food Security, Agro-Food and Livestock 15
4.1 Djibouti's food-import dependence 15
4.2 Opportunities for Indian products in Djibouti 15
4.3 Sourcing from the Horn of Africa through Djibouti 16
4.4 Livestock and halal trade 16
4.5 Cold chain and storage 16
4.6 Mutual learning 16
4.7 Quality and compliance 17
4.8 Illustrative value chain for food supplies 17
5. Fisheries, Salt and Natural Resources 18
5.1 A developing blue economy 18
5.2 Fisheries and aquaculture opportunities 18
5.3 Salt, minerals and geothermal resources 18
5.4 Indian demand and capability 18
5.5 Sustainability and certification 18

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6. Pharmaceuticals, Health and Life Sciences 19
6.1 Market context 19
6.2 Regulatory pathway 19
6.3 Opportunities 19
6.4 Regional distribution role 19
6.5 Challenges 20
7. Vehicles, Machinery and Industrial Goods 20
7.1 Market features 20
7.2 Product categories 20
7.3 Transit and policy considerations 21
7.4 Standards and homologation 21
7.5 After-sales and finance 21
8. Renewable Energy, Geothermal and Green Hydrogen 21
8.1 An energy-transition opportunity 21
8.2 India's capabilities and ambitions 22
9. Information Technology, Connectivity and Digital Government 22
9.1 Djibouti as a connectivity hub 22
9.2 Cooperation areas 22
9.3 Regional hub logic 23
9.4 Regulatory aspects 23
10. Fintech, Payments and Business Services 23
10.1 Opportunity 23
10.2 Opportunity areas 23
10.3 Regulation 24
11. Free Zones, Regional Gateway and Regional Market Access 24
11.1 The free-zone model 24
11.2 Limits 24
12. Education, Tourism and People-to-People Links 24
12.1 Education and research 24
12.2 Tourism 25
12.3 Cultural links 25
13. Logistics, Shipping and Connectivity 25
13.1 Distance and routes 25
13.2 Route and port options 26
13.3 Cost and time levers 26
13.4 Inland connectivity 26
13.5 Red Sea security and risk management 26
14. Trade Finance, Payments and Currency 27
14.1 Payment architecture 27
14.2 Instruments 27
14.3 Currency 28
14.4 Development finance 28

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15. Taxation, Legal and Compliance Framework 28
15.1 The legal environment 28
15.2 Taxation and treaties 28
15.3 Core compliance elements 28
15.4 Contract and dispute-resolution practice 29
15.5 Investment protection 29
16. Investment Promotion and Funding Vehicles 29
16.1 Investment climate 29
16.2 Target investment themes 30
16.3 Entry modes 30
16.4 Investor-facilitation desk 30
16.5 Risk register 30
16.6 Illustrative project concepts 31
17. Institutions, Diplomacy and Business Networks 31
17.1 Institutional architecture 31
17.2 A bilateral business council 32
17.3 Delegations and events 32
17.4 Information platform 32
17.5 Directory of relevant institutions 32
18. Skills, Language and Human Capital 33
18.1 Language and cultural competence 33
18.2 Skills priorities 33
Conclusion 34

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DJIBOUTI

> Experience striking landscapes and strategic shores, where desert meets the sea.



Basic Facts, Population & Currency:
Djibouti sits at a strategic maritime location on the Horn of Africa at the southern entrance to the Red Sea and the Gulf of Aden which makes it a vital transit point linking Africa, the Middle East and Asia. Its deep-water ports, free-trade zones and transit infrastructure provide crucial access for land-locked neighbours to global shipping lanes.

This geographic advantage underpins its role not as a commodity-exporting economy, but as a logistics, shipping, port-services and re-export hub for the region.The capital city is Djibouti City. The country is fairly small: land area is about 23,200 km². As per recent estimates, Djibouti's population is around 1.15 million. The official currency is the Djiboutian Franc (DJF), which remains pegged to the US dollar, offering relative monetary stability despite global shocks.

GDP & Economy Overview
GDP & Economy Overview Djibouti's economy is heavily service-oriented, with the services sector, notably ports, shipping, transit and logistics, forming the lion's share of economic activity. According to recent estimates, the nominal GDP is about US$ 4.2 billion and GDP per capita stands at roughly US$ 3,400. Given its minimal arable land (less than 4%) and low rainfall, agriculture plays only a very small role in local production; as a result, the country largely depends on imports for food and other necessities. Because of its strategic ports and transit facilities, Djibouti acts as a gateway not just for its own economy but for neighbouring landlocked economies, making it particularly sensitive to global shipping trends, regional security, and demand for transit services.

Cultural Ties
The cultural ties of Djibouti are shaped by its strategic location at the crossroads of Africa and the Middle East, blending African, Arab, and Islamic influences. Shared language, religion, and traditions connect it closely with neighboring countries and the wider Arab world. Cultural expressions such as music, poetry, and oral storytelling reflect this diverse heritage, while strong community values and hospitality remain central to daily life. These influences create a unique cultural identity that bridges multiple regions and traditions.

Culture and Heritage

Djibouti reflect a rich blend of African, Arab, and Islamic influences shaped by its strategic location along historic trade routes. The population is mainly composed of the Afar and Somali ethnic groups, whose traditions emphasize poetry, oral storytelling, and strong clan ties. Islam plays a central role in daily life, influencing customs, festivals, and social values. Djibouti's heritage is also expressed through traditional music, dance, and nomadic practices, while historical sites like Lake Assal and ancient trade settlements highlight its long-standing cultural and economic connections across the Red Sea region.

Trade with India — Bilateral Trade & India ↔ Djibouti Links

Djibouti maintains formal diplomatic relations with India, and trade between the two has been stable over the years. According to foreign-relation briefs from the Indian side, in FY 2020–21 the bilateral trade volume between India and Djibouti was US$ 367.23 million, with India's exports to Djibouti at US$ 347.06 million and imports from Djibouti (i.e., Djibouti → India) at US$ 20.16 million. Recent estimates suggest that trade levels have remained in a similar range with moderate fluctuations. The main items exported from India to Djibouti include rice, engineering goods, metals, machinery, plastic products, yarns/fabrics, food items and a variety of manufactured commodities. On the Djibouti side, exports and re-exports include agricultural goods, hides/skins and limited mineral products, although its direct export base remains small. Given Djibouti's role as a regional transit and logistics hub, especially serving landlocked neighbours, trade with India should also account for re-export and logistics-linked business such as shipping, port and transit services. Official bilateral trade data reflects direct merchandise trade, while indirect economic linkages through services are significant but harder to quantify.

Trade & Commercial Role (Import/Export)

Djibouti's trade profile is unusual compared to resource-exporting African countries: it handles a very high volume of transit cargo, re-exports and imports, owing to its logistics and port infrastructure. Trade (imports + exports + re-exports) represents a very large share of GDP one of the highest in the world. As of recent reports, exports are small and often consist of re-exports, hides/skins, coffee (from neighbours), and limited domestic products, while imports predominantly include petroleum, machinery, food items, consumer goods, chemicals reflecting domestic demand and re-export flows.



Strategic Significance & Key Observations

Djibouti's value to India (and to wider global maritime trade) lies in its strategic location and port infrastructure, not in natural-resource exports. For India, Djibouti offers a gateway into East Africa and the Horn of Africa region useful for trade, logistics, shipping, and services.

Given Djibouti's dependence on imports and re-exports, there is strong potential for Indian exporters of food items, consumer goods, machinery, infrastructure-related goods, construction materials, and petroleum / energy-related supplies to find a stable market. Further, given Djibouti's ambition to remain a logistics- and transit-hub, Indian companies in logistics, shipping services, port-services, infrastructure, and engineering could find opportunities for cooperation and investment.

1. Djibouti: Economic Profile and Business Environment

1.1 Country overview

Djibouti is a small country of just over one million people at the southern entrance to the Red Sea, bordered by Eritrea, Ethiopia and Somalia (Somaliland) and fronting the Gulf of Aden along a coastline of more than 300 kilometres. It is classified as a lower-middle-income economy. The capital, Djibouti City, is home to the large majority of the population and to virtually all of the country's commercial, financial and port activity. French and Arabic are the official languages, while Somali and Afar are widely spoken.

The country gained independence from France in 1977. Its climate is hot and arid, arable land is scarce and natural resources are limited. Djibouti's economic value therefore rests not on endowment but on location: it sits beside the Bab-el-Mandeb strait, one of the world's busiest maritime chokepoints, and provides the principal sea outlet for landlocked Ethiopia, a market of well over one hundred million people.

1.2 Structure of the economy

- **Ports and logistics:** container, bulk, livestock and multipurpose terminals, transhipment, bunkering, ship services and the Ethiopia transit corridor form the core of the economy.
- **Services:** transport, telecommunications, banking, hospitality and public administration account for the large majority of output.
- **Agriculture and fisheries:** limited by rainfall and soil; the country imports most of its food. Livestock rearing and small-scale fishing are the main primary activities.
- **Industry:** salt extraction, construction materials, bottled water, food processing and light assembly, increasingly concentrated in free zones.
- **Energy:** electricity is supplied by imported Ethiopian hydropower, thermal plants and a growing portfolio of solar, wind and geothermal projects.

1.3 Institutions and governance

Djibouti has enjoyed comparative political stability in a volatile neighbourhood, with continuity of leadership and a strong state role in the economy. Major infrastructure, port concessions and free-zone developments are driven by government and state-linked entities, which means that commercial decisions frequently involve public authorities as counterparts or partners.

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The long-term national strategy, Vision Djibouti 2035, aims to consolidate the country as a regional logistics, commercial and digital hub. At the same time, public debt linked to infrastructure financing is elevated, and international financial institutions have drawn attention to debt-sustainability risks. Transparency and governance indicators are below those of the most advanced emerging markets, so careful due diligence and local legal advice are recommended.

1.4 Trade orientation

Djibouti is one of the most trade-dependent economies in Africa. Principal trading partners include Ethiopia, China, the Gulf states, India, France and other European countries. A substantial share of the goods that pass through Djibouti's ports is in transit to Ethiopia rather than consumed domestically. Djibouti is a member of the World Trade Organization, the Common Market for Eastern and Southern Africa (COMESA) and the African Union, and participates in the African Continental Free Trade Area process. It is also classified as a least developed country, which carries preferential market access in several markets.

1.5 Trade basket

Djibouti imports foodstuffs, fuels, machinery, vehicles, construction materials, pharmaceuticals, electronics and consumer goods. Its own exports are limited and include salt, livestock, fish and small volumes of manufactured goods, but re-exports and transit trade are far larger. India is a potential supplier of nearly every major import category and a potential buyer of selected goods and services, including logistics services and commodities routed through the Djibouti corridor.

1.6 Key indicators at a glance

The indicators below are indicative and rounded; they should be refreshed from official sources (national statistics, the Central Bank of Djibouti, the World Bank and the IMF) before use in business plans.

Indicator	Indicative value
Population	About 1.1 million; roughly three-quarters urban
Area	About 23,200 square kilometres
Capital	Djibouti City
Languages	French and Arabic (official); Somali and Afar widely spoken
Currency	Djibouti franc (DJF), pegged at about 177.7 per US dollar

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